FIVE-YEAR BANK ANALYSIS

BRAC Bank's profit rose 4.8x. Its lending income fell. Here is what that means.

I analysed 15 annual reports from three Bangladeshi banks (FY2021 to FY2025) and built a 1,404-formula Excel model. Swipe for the findings.

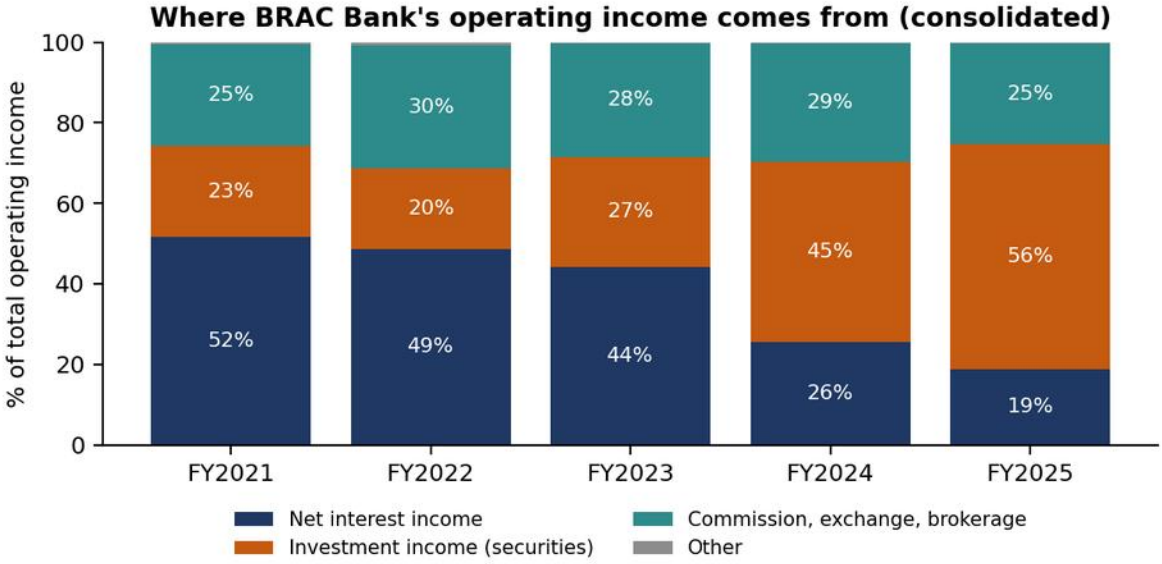
THE PROJECT

What I did

15 audited annual reports: BRAC Bank, City Bank, Eastern Bank. Banking-specific ratios, DuPont analysis, an eight-factor risk assessment, and a model where every figure traces to a page. Calculated ratios had to match the banks' own reported ratios before I trusted them.

FINDING 1

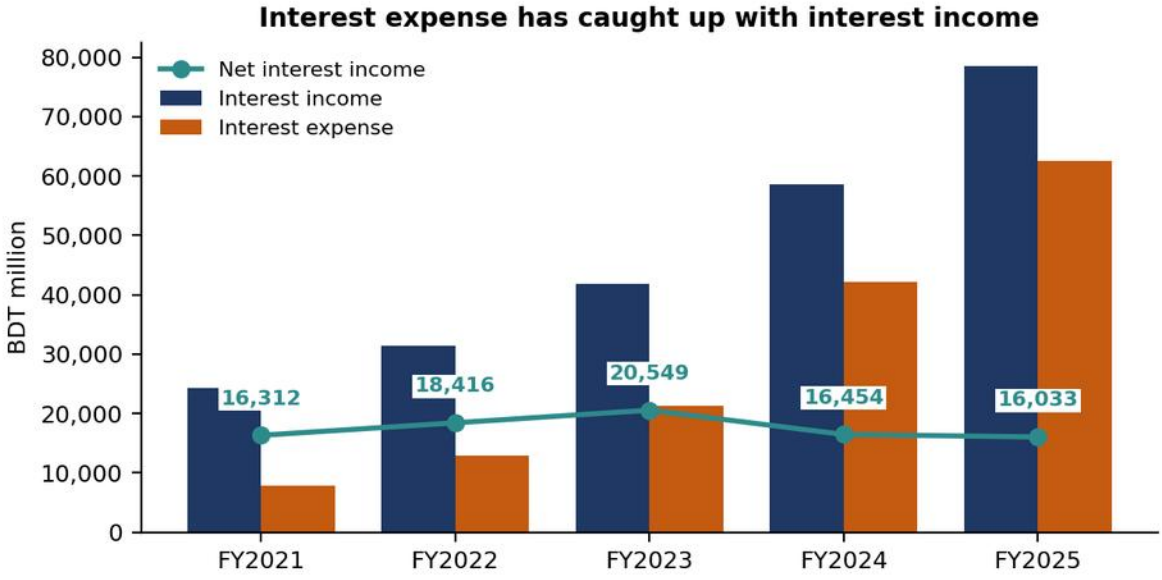
Profit grew, but not from lending



Net interest income fell from a FY2023 peak of BDT 20,549 mn to 16,033 mn. Investment income (mainly government securities) is now 56% of operating income.

FINDING 2

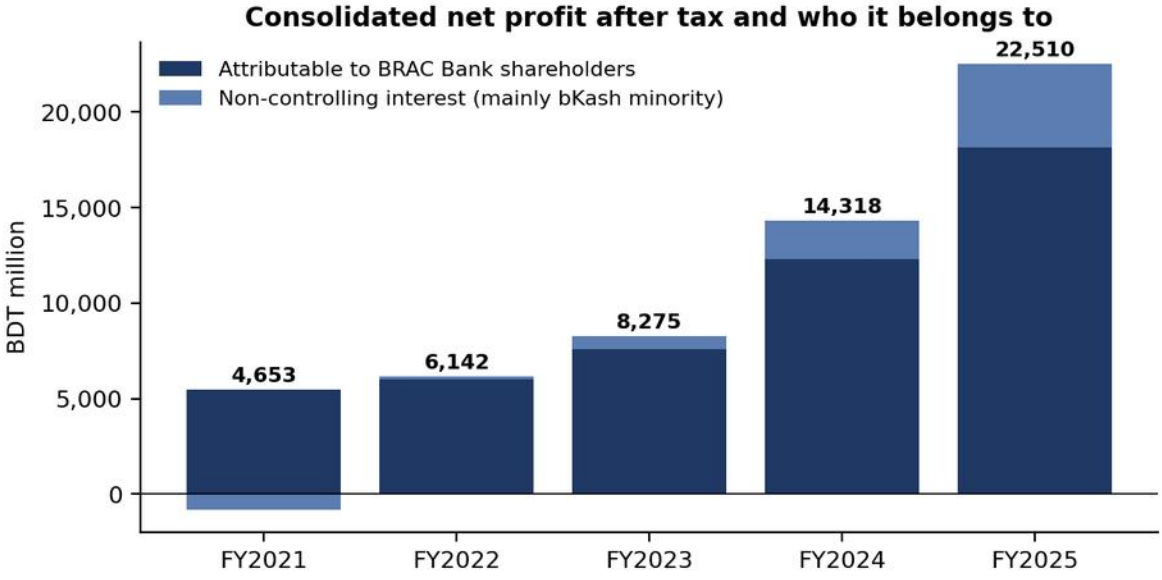
Funding costs caught up with lending income



Standalone cost of funds rose from 2.21% to 6.85%. Interest expense is growing faster than interest income.

FINDING 3

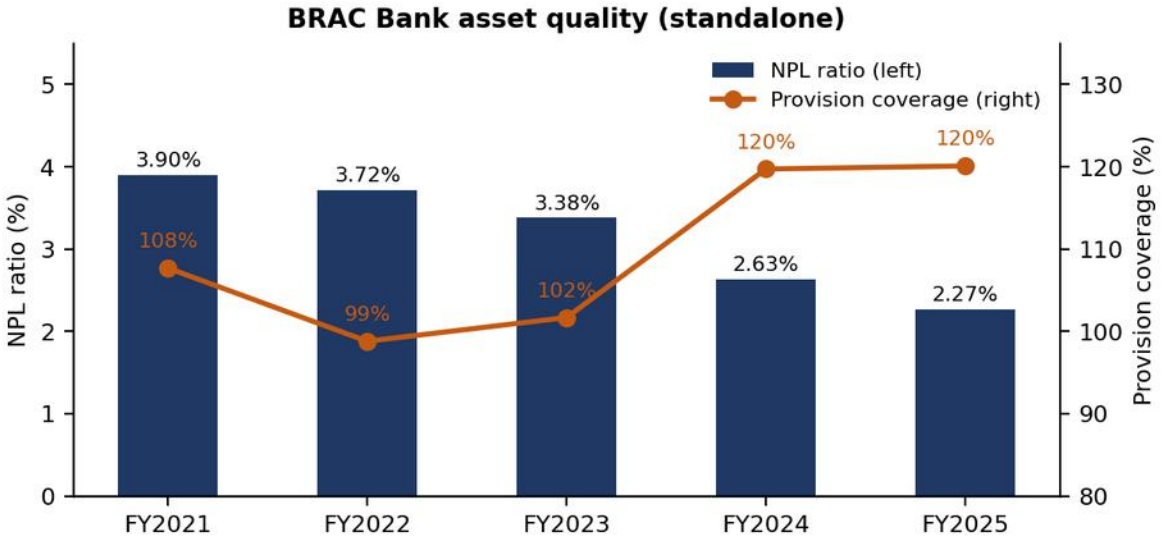
Whose profit is it?



FY2025 consolidated profit was BDT 22,509 mn, but only BDT 18,163 mn belongs to BRAC Bank shareholders. The rest belongs to minority holders of subsidiaries such as bKash.

FINDING 4

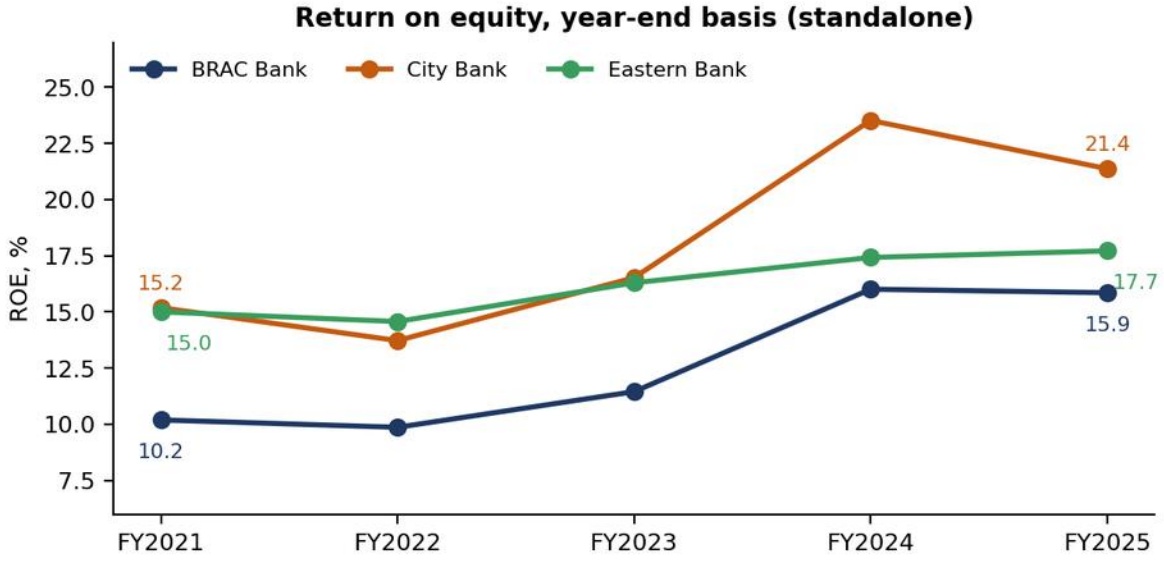
Asset quality improved. Read it carefully



The NPL ratio fell from 3.90% to 2.27%, but classified loans were flat in taka terms (about BDT 16.6 bn), so much of the improvement comes from a bigger loan book.

FINDING 5

City Bank earns the highest ROE. Why?



Net margins are almost identical (about 13%) across the three banks. The gap comes from asset yield and leverage, not better margins. FY2025 ROE: City 21.4%, EBL 17.7%, BRAC 15.9%.

WHAT I LEARNED

Banks are not factories

Ratios like debt-to-equity mislead for a bank. Restated numbers need care. Where profit comes from matters as much as how much there is. Limits: two peers only, standalone comparison, and my explanations are interpretation, not the banks' statements.

FULL PROJECT

Report, slides and Excel model available

The 29-page report, 10-slide presentation and formula-driven Excel model are attached to this project. Feedback from finance professionals is very welcome.

Built only from published annual reports. Educational research. Not investment advice.